Argument Against the Sales Tax Measure V

A **NO** vote is not a vote against police, firefighters, parks, libraries, or other essential city services. It is a vote for accountability.

Berkeley residents have repeatedly supported taxes to fund important public services, including significant increases in 2024. Before asking taxpayers to pay even more, City Council should demonstrate that it is managing existing revenues responsibly and prioritizing basic city services.

Regressive Taxation

This measure would permanently increase Berkeley's sales tax from **10.25% to 10.75%**, regressive taxation that falls hardest on students, low-income households, seniors, and working families. The regional transportation sales tax would further hike this rate to **11.25%**, one of the country's highest. **During an affordability crisis, Berkeley should not target the most economically vulnerable.** And higher local sales taxes would further depress Berkeley's neighborhood businesses.

Consumer Hardship Without Spending Reform

Supporters say this tax will help fund police, fire, and other essential services. However, the ordinance deposits the revenue into the City's General Fund, where it is available for any purpose rather than being legally dedicated to those specific services. Berkeley projects a **$29.5 million structural deficit by Fiscal Year 2028**, underscoring the need for long-term fiscal reform and responsible budgeting.

The proposed sales tax would generate approximately $10 million per year, but Berkeley's expenditures are projected to continue growing faster than that new revenue. Unless the City addresses the underlying drivers of its structural deficit, today's regressive tax increase will not solve tomorrow's budget problem.

Berkeley deserves excellent public services and responsible financial management. Before asking taxpayers to approve another **regressive** tax that remains in effect unless repealed or amended by the voters, City Council should demonstrate disciplined budgeting, prudent spending, and accountability for the dollars it already receives.

Vote NO.

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AUG 13 2026

CITY OF BERKELEY
CITY CLERK DEPARTMENT

s/ Isabelle Gaston
Assistant Treasurer, Affordable Berkeley

s/Frances Haselsteiner
Retired State Employee

s/Donna DiDiemar
Neighborhood Activist

s/Joshua Glatt
Software Engineer and Composer

s/Nancy Rader
Former Disaster and Fire Safety Commissioner

Submitted on behalf of: Affordable Berkeley. Isabelle Gaston, Assistant Treasurer

Isabelle Gaston